

Secured Transactions Act, 2006

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Amending Acts

1. Act to Amend Some Nepal Acts Relating to the National Code, 2075 2076.01.02
2. Secured Transactions (First Amendment) Act, 2081 2081.12.03

Act No. 19 of the Year 2063

An Act Made to Provide for Secured Transactions

Preamble: Whereas, it is desirable to make prompt provisions for the enforcement of obligations over movable property and for the immediate fulfillment of obligations arising thereunder by establishing an integrated legal framework to ensure the security of transactions involving movable property as collateral, in order to maximize the promotion of economic activities for the economic development of the country, amended by the First Amendment. Be it enacted by the House of Representatives in the first year of the issuance of the Proclamation of the House of Representatives, 2063. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the "Secured Transactions Act, 2063."
- (2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Court" means the Commercial Bench of a court designated by the Government of Nepal, amended by the First Amendment. by notification in the Nepal Gazette, on the recommendation of the Judicial Council. Amended by the First Amendment.
 - (b) "Instrument" means a promissory note, bill of exchange, or other negotiable instrument.
 - (c) Deleted by the First Amendment.
 - (d) "Record" means information stored in any document or by electronic or other means in a manner that can be viewed, seen, opened, or retrieved as required, and the term also includes a notice under this Act.
 - (e) "Consumer Goods" means any goods used primarily for personal, family, or household purposes. Provided that the term shall not mean a vehicle bearing an identification number.
 - (f) "Equipment" means goods other than farm products, inventory, or consumer goods.
 - (g) "Vehicle Bearing an Identification Number" means a vehicle, trailer of a vehicle, aircraft, or engine-installed boat, other than those in the inventory of the grantor.
 - (j) "Farm Products" means the following goods, other than uncut trees, of a grantor engaged in farming

operations:-

- (1) Crops, whether growing, grown, or to be grown,
- (2) Aquatic goods produced in water,
- (3) Livestock and poultry (including future offspring),
- (4) Goods used or produced in the course of farming operations,
- (5) Unprocessed products derived from crops or livestock.

Amended by the First Amendment.(jh) "Purchase Money Security Interest" means a security interest in goods or in the right of a licensee under a license of intellectual property or intellectual property, to the extent that:-

- (1) The seller of the property takes or retains the interest to secure all or part of its price; or
- (2) A person other than the seller gives value or consideration to the grantor to enable the grantor to acquire rights in or the use of the property, and the value or consideration is in fact so used. Added by the First Amendment.(jh1) "Movable Property" means tangible or intangible property of any nature of a person, including fixtures, minerals subject to extraction license, and trees to be cut, other than immovable property, and the term also includes future property, accounts, goods, bank accounts, proceeds from collateral property, or movable property located outside the country as per prevailing law.

(n) "Fixture" means goods that are or are intended to be affixed to immovable property in which a property right is created under prevailing law. Provided that the term shall not include factory machinery, office machines, or household goods that are readily removable.

(t) "Guarantee" means a secondary obligation, such as a payment obligation or the payment obligation of a person issuing a letter of credit, and the term also includes an obligation that helps to effect payment in respect of accounts, chattel paper, instruments, or other amended by the First Amendment. movable property. Added by the First Amendment.(t1) "Prescribed" or "As Prescribed" means prescribed or as prescribed in the rules made under this Act. Added by the First Amendment.(t2) "Registration Record" means the registration record established pursuant to clause (a) of subsection (1) of section 5.

(th) "Registration Office" means the Secured Transactions Registration Office established pursuant to section 4. Added by the First Amendment.(th1) "Event of Default" means a situation where the person bearing the obligation fails to fulfill the obligation required to be fulfilled, and the term also includes any other situation which is deemed to be a failure to perform an obligation under the terms of the agreement between the grantor and the secured party.

(d) "Obligor" means a person who is required to fulfill an obligation in respect of accounts, chattel paper, or other amended by the First Amendment. movable property.

(dh) "Secured Party" means a lender, creditor, seller, or other person who obtains a security interest pursuant to a security agreement, and the term also includes a person who purchases accounts or chattel paper, and a lessor of goods.

Amended by the First Amendment.(n) "Grantor" means a person who grants a security interest to secure the obligation of that person or any other person, and the term also includes a person who grants an account as collateral. Amended by the First Amendment.(t) "Collateral" means movable property in which a security interest may be created.

(th) "Security Agreement" means an agreement that creates or provides for a security interest. Amended by the First Amendment.(d) "Security Interest" means the interest of a secured party created by agreement in

the movable property granted as collateral by the grantor, and the term also includes the interest of a person receiving a transfer of accounts.

(dh) Deleted by the First Amendment.

(n) Deleted by the First Amendment.

(p) "Purchaser" means a person who acquires any property or acquires an interest in such property in any manner.

(ph) "Account" means a right to payment for goods sold or leased or for services rendered which is not evidenced by an instrument or chattel paper, creating a right to payment.

(b) "Inventory" means goods held for sale or lease in the ordinary course of a trade or business, and the term also includes raw materials, work-in-process, finished goods, or materials used or consumed in such enterprise or business.

(bh) "Value" means the consideration given or to be given under the agreement.

(m) "Goods" means all things that are movable at the time a security interest attaches, and the term includes fixtures, trees to be cut for the purpose of sale, and farm products.

Provided that the term shall not mean accounts, chattel paper, currency, documents, or instruments.

(y) "Lease of Goods" means a lease of the following goods:-

(1) A lease of goods for a term of more than one year,

(2) A lease of goods for an indefinite term,

(3) If a lease of goods is initially for a term of one year or less but the lessee, with the consent of the lessor, continuously retains possession of the goods for more than one year from the time possession was obtained, Provided that if the lessee has not retained possession of the leased goods for more than one year, such goods shall not be deemed to have been leased for a term of more than one year.

(4) If a lease of goods is for a term of one year or less but contains a provision that it may be renewed for a term exceeding one year.

(r) "Registrar" means the person appointed or designated pursuant to subsection (3) of section 4.

(l) "Lien Holder" means the following persons:-

(1) A person entitled to an interest in or possession of the collateral of a secured party by order of a court, an authority empowered under prevailing law, or a practitioner of insolvency under prevailing law relating to insolvency,

(2) Any other person, other than a person who controls the collateral, who acquires an interest in the collateral of a secured party in the course of the enforcement of law.

(w) "Document" means a document of title or receipt, such as a bill of lading, warehouse receipt, etc., issued by a person engaged in the business of transporting or storing goods.

(sh) "Proceeds" means the benefit received or to be received from the following actions:-

(1) Any receipt of any kind from the sale, lease, license, exchange, or other transfer of collateral,

(2) Any receipt from collection or distribution in respect of collateral,

(3) Rights arising from collateral,

(4) A claim for loss, damage, or breach of condition concerning the collateral, to the extent of the value of the collateral,

(5) Insurance proceeds payable for loss or damage to or breach of condition of the collateral, to the extent of the value of the collateral and to the extent payable to the grantor or the secured party.

(sh) "Cash Proceeds" means proceeds such as currency, checks, or deposits, and the term also includes other similar cash proceeds.

(s) "Sign" means adopting or executing a name or symbol by any means with the intent to identify the person signing or to accept or establish the authenticity of a record.

Provided that the term shall not imply the requirement of a manual signature.

(h) "Acquiring Property" means taking property or creating an interest in property by voluntary transaction, such as a purchaser, donee, secured party, or pledgee.

(ksh) "Notice" means a record registered or submitted for registration at the Registration Office, and the term also includes an amendment, continuation statement, and termination statement registered or submitted for registration.

(tr) "Chattel Paper" means a record that creates a debt obligation and a security interest in goods or leased goods.

(jny) "Transfer" means the transfer, in whole or in part, from one person to another of the right to payment in accounts, chattel paper, instruments, documents, or other rights to payment. Amended by the First Amendment.

(kka) "Assignor" means a person who transfers an account as collateral. Amended by the First Amendment.

(kkh) "Assignee" means a person to whom an account is transferred as collateral. 3. Application of this Act: (1) This Act shall apply to the following transactions:-

(a) All transactions made to secure an obligation from collateral, including pledge, hypothecation, and hire purchase,

Added by the First Amendment. Explanation: For the purpose of this clause, "hypothecation" means the hypothecation of movable property. Amended by the First Amendment. (b) The sale of accounts, whether or not for the purpose of securing an obligation, and

Amended by the First Amendment. (c) The lease of goods, whether or not for the purpose of securing an obligation. Added by the First Amendment. (1a) This Act shall apply to the following collateral:-

(a) If movable property, including instruments, which constitutes collateral at the time the security interest is created, is located in Nepal,

(b) If the movable property has a basis for being in Nepal, or such property is commonly used in more than one country and the grantor resides in Nepal and the collateral is located in Nepal, or

(c) If movable property, including accounts, constituting collateral, and such collateral is located in Nepal.

(2) Notwithstanding anything contained in the agreement between the parties or irrespective of who holds the ownership right in the collateral, this Act shall apply to the transactions and collateral [mentioned] in subsections (1) and (1a).

Amended by the First Amendment. (3) Notwithstanding anything contained in subsections (1), (1a), and (2), this Act shall not apply to the following transactions:-

(a) The transfer of an employee's compensation claim.

- (b) The sale of accounts or chattel paper related to a business in connection with the sale of that business.
- (c) The transfer of an account, chattel paper, or instrument for the purpose of collection, and
- (d) The transfer of a right to payment under a contract to an assignee who also has an obligation to perform under that same contract. Chapter-2

Establishment and Operation of Registration Office Relating to Secured Transactions

4. Establishment of Registration Office: (1) The Government of Nepal shall establish one Registration Office called the Secured Transactions Registration Office for the registration of notices under this Act.

(2) Until the establishment of the Registration Office pursuant to subsection (1), the Government of Nepal may designate an office to perform the work of registering notices under this Act.

(3) To manage the work and operations of the Registration Office, the Government of Nepal may appoint or designate an officer of at least the rank of gazetted second class or equivalent as the Registrar.

(4) The Registrar appointed or designated pursuant to subsection (3) shall perform the prescribed duties and responsibilities under this Act. 5. Functions, Duties, and Powers of the Registration Office: (1) The functions, duties, and powers of the Registration Office shall be as follows:-

(a) To establish, operate, and maintain a registration record to be operated by electronic technology for the registration of notices relating to any amendment, continuation statement, termination statement, rectification of errors, and notices concerning the rights of lien holders related to a notice or notice.

(b) To provide information from the records of the Registration Office as provided in this Act to any person upon request.

(c) To publish an annual report of its work within six months of the end of each fiscal year.

(2) For the purpose of performing any or all functions of the Registration Office, the Government of Nepal may enter into an agreement with a private entity and take necessary assistance through such entity to fulfill the functions of the Registration Office. Before entering into such an agreement, the Registration Office shall consider whether such entity is competent as follows:-

(a) Whether such entity has sufficient means, manpower, financial and technical resources to assist the Registration Office in registration work,

(b) Whether such entity has the capability to access the electronic registry maintained by the Registration Office in accordance with appropriate business practices. 6.

Right of Access to Office Notices: (1) Information relating to a notice registered under this Act shall be a public record. (2) Indexes and other records prepared by the Registration Office in any form or medium regarding notices shall also be public records. (3) Every person shall have the right to inspect the records under subsection (1) or (2) held in the Registration Office and to obtain necessary copies thereof. 7. Contents of Initial Notice: Amended by the First Amendment.(1) An initial notice must contain at least the following details:-

(a) Name, address, and other details of the grantor, (b) Name, address, and other details of the secured party or its representative, (c) Details relating to the collateral, Provided that if the initial notice relates to minerals subject to extraction license, trees to be cut, or fixtures constituting collateral, details of the relevant immovable property must also be stated. A vehicle bearing an identification number may be described by its identification number or in a general manner. (d) Other details as prescribed. Amended by the First Amendment.(2) The secured party or a person authorized by them may register an initial notice under this Act on their behalf at the Registration Office. (3) If the grantor has concluded a security agreement,

the grantor shall be deemed to have authorized the registration of the initial notice or amendment relating to the collateral described in that agreement and the proceeds thereof, whether or not the agreement expressly provides for such registration. (4) An initial notice under this section may be registered before the security agreement is concluded or before the security interest attaches. Amended by the First Amendment.(5) Information in an initial notice shall be effective from the date and time it is placed in the registration record. 8.

Notice not Invalid or Affected: (1) A notice shall be valid even if it contains a minor error in the grantor's details, provided the information in the notice can be retrieved by searching the registration record using the actual details of the grantor, and the error does not materially differ from the security agreement. (2) Any minor error in the notice regarding the identification of a grantor shall not affect the effectiveness of the notice in respect of another grantor whose correct identification is stated. (3) Except for errors in the identification of the grantor, any minor error in any information required to be stated in the notice pursuant to subsection (1) of section 7 shall not affect the effectiveness of the notice, provided it is not seriously misleading to a person conducting a reasonable search of the registration record. (4) If an error in the description of the collateral renders the notice ineffective regarding that collateral, this shall not affect the effectiveness of the notice in respect of other collateral sufficiently described in the notice. 9. Effect of Changes in Notice: (1) If collateral is sold, exchanged, leased, licensed, or transferred in any manner, the notice registered in respect of that collateral shall remain valid after such transfer, even if the secured party has knowledge of or has consented to the transfer. Amended by the First Amendment.(2) If a grantor changes their name to the extent that a registered notice becomes seriously misleading, the notice shall remain valid for collateral acquired by the grantor before the date of the name change or within four months after that date. The notice shall be deemed to remain effective for collateral acquired by the grantor after four months from the name change only if an amendment to correct the name is filed within four months of the name change. (3) Except as otherwise provided in subsection (2) regarding the grantor's name change, a notice shall remain valid even if changes in circumstances after its registration render it seriously misleading. 10. Duration of Notice and Effect of Termination: (1) A notice registered under this Act shall remain effective for a period of five years from the date of registration.

If a continuation statement is not registered before the expiry of this period, the notice shall not be effective after the expiry of the five-year period. (2) Except where a security interest has become perfected without registration, the notice shall become invalid after the period of its effectiveness expires, and any security interest perfected by that notice shall become unperfected. (3) If a security interest becomes unperfected due to the expiry of the notice period, the security interest shall in no case be deemed perfected against a person who purchases the collateral for value after the notice period expires. Amended by the First Amendment.11. Name of Secured Party in Notice: (1) The person whose name is given as the secured party or its representative in an initial notice or amendment notice registered under this Act shall be the secured party named in that notice. (2) Unless the name of the secured party under subsection (1) is changed by an amendment notice, that person shall remain the secured party. 12. Amendment of Notice: (1) An initial notice may be amended by one or more amendments. A notice of amendment of an initial notice must include the following:- (a) The initial notice must be identified by its registration number, (b) The secured party named in the notice who authorizes the amendment must be identified, (c) The intended amendment to the notice must be clearly stated, (d) The notice must be completely rewritten to show the amendment, providing all information required in the initial notice. Amended by the First Amendment.(2) An amendment to a notice that adds collateral covered by the notice or adds a grantor to the notice shall be effective only if the grantor affected by the amendment authorizes it. Added by the First Amendment.(2a) After concluding an agreement regarding proceeds, the grantor shall be deemed to have authorized the registration of an amendment

covering the collateral described in that agreement and the proceeds thereof. (3) Deleted by the First Amendment (4) Deleted by the First Amendment (5) Deleted by the First Amendment (6) An amendment adding collateral shall be effective regarding the added collateral from the date and time of registration of the amendment. Amended by the First Amendment. (7) If an amendment is registered to add a grantor, the amendment shall be effective regarding the added grantor from the date and time of registration of the amendment.

Amended by the First Amendment. (8) Except for an amendment under subsection (7), an amendment shall be effective regarding each grantor named in the amendment notice only if that grantor authorizes the registration of the amendment. (9) An amendment that excludes all secured parties named in a notice without naming a new secured party in their place, or excludes all grantors named in a notice without naming a new grantor in their place, shall be invalid. Amended by the First Amendment. (10) The registration of an amendment shall not extend the duration of any notice. 13. Continuation of Notice: Amended by the First Amendment. (1) A registered continuation statement, identifying the initial notice by its registration number, may extend the duration of the notice. Amended by the First Amendment. (2) A continuation statement may be registered within six months before the expiry of the notice period to extend its duration. (3) If a continuation statement is registered within the period under subsection (2), the notice shall remain effective for a period of five years from the date on which the notice would have expired had the continuation statement not been registered. (4) Deleted by the First Amendment (5) Deleted by the First Amendment 14. Termination of Notice: (1) The effectiveness of a notice may be terminated by registering a termination statement stating the following:- (a) The initial notice is identified by its registration number, (b) Deleted by the First Amendment. (c) It is stated that the notice is no longer effective regarding the secured party giving the authorization for registration. (2) If the following conditions are met, upon written request by the grantor, the person named as the secured party in the notice shall register a termination statement within twenty days of receiving such request:- (a) There is no outstanding secured obligation and no commitment to make advances, incur obligations, or pay any kind of value, or (b) The grantor did not authorize the registration of the initial notice, or (c) An obligor or other person required to fulfill an obligation in respect of a sold account or chattel paper included in the notice has fulfilled that obligation, and there is no outstanding commitment regarding further sale of accounts. Added by the First Amendment. 15.

Effectiveness of Notice: (1) The Registrar shall register a notice sought to be registered in the registration record if the following conditions exist:- (a) Any fee payable for registration has been paid, or the procedure for payment under subsection (4) of section 19 has been followed, (b) Each notice required to be entered under this Act has been entered into the registration record, or (c) Other notices prescribed by the Registration Office have been entered into the registration record. (2) If a notice sought to be registered under subsection (1) cannot be registered in the registration record, arrangement shall be made to immediately inform the person seeking registration electronically. (3) A notice registered under this Act shall be effective only to the extent of the information registered. (4) After a notice is registered in the registration record, arrangement shall be made to immediately send details thereof to the person identified as the secured party in the notice, including:- (a) Details of the notice, (b) The date and time of registration of the notice in the registration record, and (c) In the case of an initial notice, the registration number of the notice. 16. Claims Regarding Improperly Registered Notice: (1) If a person believes that a notice registered in their name at the Registration Office is unfounded or improperly registered, that person may register a statement of correction at the Registration Office, stating the following:- (a) The record related to the statement is identified by the registration number of the initial notice, (b) The statement is a statement of correction, and (c) The basis on which the person believes the record is inaccurate and how the record should be amended

to remove the inaccuracy, or the basis on which the person believes the record was improperly registered. (2) The registration of a statement of correction under this section shall not affect the effectiveness of the notice. 17.

Duties of the Registration Office: (1) The Registration Office shall, in respect of each notice registered in the registration record, do the following:- (a) Assign a separate registration number to each registered record. (b) Establish and maintain a record showing the registration number assigned to each record, along with the date and time of registration. (c) Make the registration record accessible for searching notices. (2) The Registration Office shall register the initial notice in the registration record by the name of the grantor. (3) The Registration Office shall register the initial notice and all related records in the registration record in a manner that they are linked to each other. (4) The Registration Office shall establish and maintain a list bearing identification numbers for notices concerning vehicles bearing identification numbers. (5) The Registration Office shall retain records of expired notices in the registration record securely for ten years from the date of expiry. (6) The Registrar shall ensure that a notice sought to be registered under subsection (1) of section 15 is accepted by the registration record and, except as otherwise provided in this Act, no registered notice shall be amended or removed from the registration record. 18. Obtaining Information from Registration Record: (1) A person searching for information may obtain information from the registration record based on the following:- (a) The identification of the grantor, (b) The identification number of a vehicle bearing an identification number, or (c) The registration number of the initial notice. (2) A fee as prescribed shall be charged for obtaining information under this section. (3) The Registration Office may transmit notices or information through appropriate means. (4) Other arrangements relating to obtaining information shall be as prescribed. 19. Provisions Relating to Registration Fees: Amended by the First Amendment. (1) A fee as prescribed shall be charged for the registration of an initial notice, amendment notice, continuation statement, or termination statement. (2) Notwithstanding anything contained in subsection (1), no fee shall be charged for searching records using electronic technology. (3) No fee shall be charged for other services provided under this Act. (4) The Registrar may establish accounts for persons using services provided by the Registration Office and determine procedures for periodic payment of fees charged for such services. Chapter-3 Provisions Relating to Security Interests 20. Security Interest: (1) Subject to subsection (2), any person may grant and take a security interest under this Act.

When granting and taking a security interest, the security interest may be granted and taken in a manner that creates security interests for more than one person in the same collateral. (2) No security interest other than a purchase money security interest may be created in consumer goods held by the grantor. (3) A security interest shall not be deemed invalid solely because the grantor retains the right to use, enjoy, sell, exchange, commingle, or otherwise transfer rights in the collateral. 21. Secured Obligation: (1) A security interest created pursuant to section 20 may secure the maximum amount specified in the security agreement and one or more obligations, whether specific or general. (2) The secured obligation under subsection (1) may be monetary or non-monetary. (3) A security interest may also secure a future obligation. Such obligation may be binding, conditional, or voluntary. (4) A security interest may also secure pre-existing obligations. 22. Description of Collateral: A description of collateral other than consumer goods shall be deemed sufficient if it identifies the collateral pursuant to clause (c) of subsection (1) of section 7. Provided that in respect of a security agreement for consumer goods, a specific description of such goods must be stated. 23. Effectiveness of Security Agreement: (1) A security agreement shall exist as a record. A security agreement may be kept in one or more records. (2) Except as otherwise provided in this Act, the terms of a security agreement shall apply to the parties to the agreement, acquirers of collateral, creditors, and lien holders. (3) A security agreement may relate to one or more security interests. 24. Collateral in Possession of Secured

Party: (1) The secured party shall exercise reasonable care over the collateral in their custody and possession. (2) While the collateral is in the possession of the secured party, unless otherwise agreed, the following shall apply:- (a) The grantor shall be liable for the cost of insuring the collateral and for the payment of reasonable expenses, including taxes and fees related to the collateral, and such expenses shall be recoverable from the collateral, (b) Risk of loss or damage to the collateral due to any accident shall be borne by the grantor to the extent not covered by insurance proceeds, and (c) Any increase in value of the collateral, other than proceeds, shall be held by the secured party as additional security, and the secured party may apply such funds to reduce the secured obligation unless the grantor is reimbursed. 25.

Attachment of Security Interest to Collateral: (1) A security interest shall attach to collateral and become enforceable against the grantor and third parties only in the following circumstances:- (a) A security agreement is entered into describing the collateral, (b) Value is given by the secured party to the grantor, and (c) The grantor has rights in the collateral or the power to transfer the collateral to the secured party. (2) Unless otherwise agreed, the attachment of a security interest to collateral shall give the secured party, under this Act, the right to proceeds from such collateral. Chapter-4 Perfection and Priority of Security Interest 26.

Perfection of Security Interest: (1) A security interest is perfected when it has attached and all requirements of this section are satisfied. (2) Except as otherwise provided in this section, for perfection of a security interest, a notice must be registered in the registration record. Amended by the First Amendment.(3) A purchase money security interest in consumer goods is perfected only after it attaches to the consumer goods. No notice needs to be registered for that purpose. (4) Amended by the First Amendment.(4) A security interest in goods, instruments, documents, or currency may be perfected by the secured party taking possession of such collateral. No notice needs to be registered for that purpose. The security interest in such goods, instruments, documents, or currency shall be perfected from the time of taking possession and shall remain perfected so long as possession is retained. (5) Deleted by the First Amendment (6) Deleted by the First Amendment (7) Deleted by the First Amendment (8) Amended by the First Amendment.(8) If goods are in the possession of a bailee who has issued a document covering the goods, a security interest in the goods may be perfected by perfecting a security interest in the document. (9) Perfection of a security interest in collateral perfects a security interest in a supporting obligation given as security. Amended by the First Amendment.(10) A secured party with a security interest in an account, instrument, or other right to payment shall have the benefit of personal or property rights securing or supporting such payment, without the need for a transfer process. If such benefit is transferred, it shall be the duty of the grantor to transfer it to the secured party under prevailing law. 27.

Continuity of Perfection: (1) If a security interest is perfected first by one method and later by another method without a break in continuity, the security interest shall be deemed continuously perfected. (2) If a secured party transfers a perfected security interest, the transferee does not need to register a notice under this Act to maintain the perfection of the security interest. Amended by the First Amendment.28. Priority of Security

Interests in Same Collateral: (1) Except as otherwise provided in this Act, priority among conflicting security interests in the same collateral shall be determined as follows:- (a) Among perfected security interests, the one whose priority time is earlier has priority, (b) Between a perfected and an unperfected security interest, the perfected security interest has priority, and (c) Among unperfected security interests, the one that attaches to the collateral first has priority. Provided that if unperfected security interests attach at the same time, the security interest arising from the earlier security agreement shall have priority. (2) If a security interest is continuously perfected without later attachment, the time of registration constitutes the priority time for the first perfected security interest. (3) If continuously perfected, the time of perfection by taking possession constitutes the priority time. (4) If a bank has a perfected security interest in a bank account held

with it, that security interest has priority over any other security interest, whether perfected or unperfected, in that bank Amended by the First Amendment.(b) Even if another person has registered a notice after taking a security interest over the inventory or domestic animals in the stock prior to the registration of notice by the person taking a purchase money security interest, if the person taking the purchase money security interest provides written information to that person about such goods or domestic animals along with details thereof and of his purchase money interest. 36. Priority of the right to take control (retention) of goods: Where a right to take control of goods arises by operation of law and such goods have been taken into possession, even if the security interest over such goods has been perfected, the right to take control shall have priority in the following circumstances:- (a) if the right to take control was created in favor of the person taking possession of such goods to secure payment for materials or services provided in respect of such goods, and (b) if such materials or services were provided in the ordinary course of business. 37. Fixtures: (1) A security interest may be created in fixtures.

If the goods in which a security interest is created subsequently become fixtures, the security interest shall continue to subsist. (2) Notwithstanding anything contained in subsection (1), a security interest in ordinary building materials shall terminate at the time such materials are incorporated into immovable property. (3) The priority of factory machinery, office machinery or household goods that can be easily removed or detached shall not be determined under this section. (4) Except as otherwise provided in this section, a security interest in fixtures shall be subject to all other real rights in the immovable property. (5) If notice is registered before the right of the owner of the immovable property or the mortgagee is registered in accordance with the prevailing law, a perfected security interest in fixtures shall have priority over the right of the owner of such immovable property or the right of the mortgagee, notwithstanding any provision in the mortgage deed. Amended by the First Amendment.(6) In relation to a lien required to be registered under this Act, if notice is registered to perfect the security interest in fixtures before the registration of notice, the perfected security interest in fixtures shall have priority over the lien. (7) If the security interest granted by the chargor before any goods become fixtures is a purchase money security interest, and notice to perfect the security interest is registered before such goods become fixtures or within five days from the date they become fixtures Added by the First Amendment., the perfected security interest in fixtures shall have priority over the right of the owner of the immovable property, the lienholder, or the mortgagee, notwithstanding any provision in the mortgage deed. Provided that the priority determined in this manner shall not apply to a construction mortgage.

Explanation: For the purpose of this subsection, "construction mortgage" means a mortgage registered under the prevailing law to secure any liability for payment for construction improvements made to immovable property. (8) If the secured obligation is not performed, the secured party entitled to priority under this section may remove the fixtures from the immovable property subject to the following: (a) The secured party removing the fixtures must immediately reimburse any mortgagee other than the chargor for the cost of repairing any damage to the immovable property caused by the removal. (b) The secured party must compensate such mortgagee or the owner for any decrease in the value of the immovable property resulting from the absence of the removed fixtures or the necessity of their displacement. (c) The person entitled to reimbursement may refuse to permit removal of such fixtures until the secured party provides adequate assurance that the reimbursement obligation will be fulfilled. 38. Agricultural Products: Amended by the First Amendment.A perfected security interest in agricultural products on immovable property in the possession of the chargor shall have priority over the right of the owner or mortgagee of such property, provided that the chargor?s interest in the immovable property or the immovable property itself is registered under the prevailing law. 39. Accession: (1) Goods shall be deemed to have acceded to other goods if they are

physically integrated with other goods in a manner that does not destroy their original identity. (2) A security interest may be created in goods that are to become accessions, and such security interest shall continue in the accession as well as in the collateral.

If the security interest in the collateral was perfected at the time of accession, the security interest shall be deemed perfected in the accession as well.

(3) Deleted by the First Amendment If the obligation is not performed, the secured party may remove the accession from the whole goods, provided that the security interest in the accession has priority over the claims of every person having an interest in the whole goods.

(4) A secured party removing an accession shall reimburse any person other than the chargor who has an interest in the whole goods for any physical damage caused to the whole goods, as follows, and the secured party's right shall be subject to the right of such person:

(a) The secured party removing the accession must immediately reimburse any mortgagee other than the chargor for the cost of repairing any damage to the immovable property caused by the removal.

(b) The secured party must compensate the chargor or other secured party for any decrease in the value of the immovable property resulting from the absence of the removed goods or the necessity of their displacement.

(c) The person entitled to reimbursement may refuse to permit removal of such goods until the secured party provides adequate assurance that the reimbursement obligation will be fulfilled. 40. Commingled Goods: (1) Goods are commingled if they are physically integrated with other goods in a manner that destroys their identity in the product or mass.

(2) A security interest may not be created in commingled goods. Provided that a security interest may be created in the product or mass resulting from such commingled goods.

(3) If the collateral becomes commingled goods, the security interest attaches to the product or mass.

(4) Amended by the First Amendment. If the security interest in the collateral was perfected by registration prior to the collateral becoming commingled goods, the registration continues perfected with respect to the security interest attached to the product or mass, whether or not the commingled goods are specified.

The priority of the security interest in the product or mass shall be calculated from the time of priority of the security interest in the commingled collateral.

(5) If more than one security interest attaches to the product or mass of commingled goods, priority shall be determined as follows:

(a) A security interest that was perfected at the time the collateral became commingled goods has priority over a security interest that was unperfected at that time.

(b) A security interest that attached first to the product or mass has priority over an unperfected security interest.

(c) If more than one security interest is perfected, the security interests rank equally in proportion to the value of the collateral at the time it became commingled goods. 41. Purchase of Secured Sale Agreements and Instruments: A buyer of a secured sale agreement or instrument in the following circumstances shall have priority over a conflicting security interest in the secured sale agreement or instrument and the proceeds

thereof:

(a) If the buyer, in the ordinary course of business, gives new value and takes possession of the secured sale agreement or instrument, and

(b) If the secured sale agreement or instrument does not indicate that it has been transferred to a person holding a conflicting security interest. 42. Assignments: Amended by the First Amendment.(1) A person may assign some or all of his rights in an account.

(2) The terms of the agreement between the account debtor and the assignor shall be binding on the assignee.

(3) Except as otherwise provided in this section, no notification is required to be given to the account debtor regarding the attachment, perfection, or enforcement of a security interest arising from an assignment.

(a1) Added by the First Amendment.An assignment of an account is effective, notwithstanding any provision in an agreement between the account debtor or any other person and the assignor that restricts the assignor's right to assign the account.

(b1) Added by the First Amendment.No person other than the assignor or assignee is liable for a breach of contract by the assignor, and the account debtor is not discharged from any obligation created by the account or the assignment agreement solely on the ground of a breach of the assignment agreement by the other party.

(4) If notification of the assignment is required to be given to the account debtor, such notification must be in writing and must reasonably identify the assigned rights and be signed by the assignor or the assignee.

(5) After receiving notification of the assignment, the account debtor shall discharge his obligation by paying the assignee and not the assignor.

If requested by the account debtor, the assignee must promptly furnish reasonable proof that the assignment has been made. If the assignee fails to furnish reasonable proof of the assignment, the account debtor may discharge his obligation by paying the assignor, even if he has received notification of the assignment. 42A. Added by the First Amendment.Right to Collect Accounts: Subject to the provisions of this Act regarding the exercise of the right to assign or collect, an assignee under a complete assignment of an account may, after the payment is due, proceed directly to collect such account without judicial proceedings, at any time. 43. Restrictions or Prohibitions on Sale or Assignment: An agreement between the secured party and the chargor that prohibits or restricts the sale or assignment of an account, a lease, or a secured sale agreement shall not be enforceable. 44. Future Advances: If the perfected security interest secures future advances, the rights of a lienholder shall have priority over the security interest to the extent of advances made after the later of: the time the lienholder actually knows of the lien, or twenty-one days after the date of registration of the notice of lien in the notice registration record. Amended by the First Amendment. 45. Modification of Priority: A person entitled to priority under this Act may agree to modify or subordinate such priority. No registration of notice is required for such an agreement. 45A. Added by the First Amendment.Prior Right to Notice: Before exercising rights in the collateral, the secured party must give notice to any other secured party who has a prior right in such collateral. The secured party with the first priority may, at any time before the completion of the enforcement process, accept and proceed with such enforcement process. Chapter 5

Enforcement of Security Interest

Provisions Regarding Performance of Obligations: (1) The parties to a security agreement may by mutual agreement make necessary provisions regarding the performance of obligations. (2) If the obligation is not performed, the secured party shall have the following rights: (a) The secured party may take possession or control of the collateral in accordance with his discretion, even if the security agreement does not contain any provision regarding possession or control. (b) To sell or dispose of the collateral. (c) To exercise other rights and remedies provided in this Act. (d) To exercise other rights and remedies provided in the security agreement. (e) To exercise rights and remedies available under other prevailing laws. (3) The secured party may exercise any or all of the rights available to him simultaneously. (4) If the obligation is not performed and the collateral consists of accounts or Amended by the First Amendment.other rights to payment, the secured party may, subject to the provisions of this Act regarding the exercise of rights to assign or collect, proceed directly to take necessary action in respect of such accounts or Amended by the First Amendment.other rights to payment without judicial proceedings. (5) If the obligation is not performed and the collateral consists of a document, the secured party may take necessary action in respect of such document and the goods covered by it. (6) If the secured party obtains an order for possession, priority over the collateral shall be calculated from the earlier of the date of registration of notice or the date of perfection of the security interest. (7) When selling the collateral by order of a competent authority or through a public auction, the secured party may purchase such collateral. 47. Secured Party's Right to Collect: (1) If the obligation is not performed, the secured party may notify the person known as the account debtor or any other person obligated to make payment in respect of an account, a secured sale agreement, or any other right to receive payment, and may also take control of any subsequent proceeds. (2) If the security interest secures a debt, the secured party shall pay to the chargor any surplus collected in excess of the amount of the secured debt and the expenses deductible under this Chapter.

Unless otherwise agreed, if there is a deficiency between the amount collected and the secured debt plus deductible expenses under this Chapter, the chargor shall pay such deficiency to the secured party.

(3) In the case of a transaction involving the sale of an account or a secured sale agreement, the secured party is entitled to any surplus only if so provided in the security agreement, and he shall be responsible for any deficiency.

(4) Deleted by the First Amendment

48. Secured Party's Right to Take Possession of Collateral: (1) If the chargor fails to Amended by the First Amendment.perform the obligation, the secured party may take possession or control of the collateral without judicial proceedings.

(2) Deleted by the First Amendment

(3) Deleted by the First Amendment

(4) Subject to the security agreement, the secured party may require the chargor to assemble the collateral and make it available to the secured party at a place reasonably convenient to both parties as designated by the secured party.

(5) The secured party may render any equipment unusable without removing it from the place where it is located, and may sell the collateral at the chargor's place of business, residence, or any other place where the collateral is located or found. 49. Right to Obtain Relief if Enforcement is Hindered or Obstructed: (1) If

the chargor prevents, hinders, or obstructs the enforcement of the security interest, the sale or other disposition of the collateral, contrary to this Act, the security agreement, or the prevailing law, the secured party may file a petition in court for the protection of the collateral in the following circumstances:

(a) If the collateral has been damaged, or is likely to be damaged, or has been wrongfully transferred, or is likely to be transferred.

(b) If the collateral is in danger of being lost or cannot be located.

(c) If the chargor cannot be located.

(2) Upon a petition filed under subsection (1), the court may issue orders as follows:

(a) To restrain the chargor or any other person in possession of the collateral from selling or disposing of it.

(b) To order the chargor or any other person having knowledge of the collateral to appear before the court and provide information regarding the collateral.

(c) To order the chargor to deliver possession of the collateral to the secured party.

(d) To order any person who has obtained the collateral subject to the security interest under this Act to deliver possession of such collateral to the secured party. 50.

Secured Party's Right to Sell Collateral: (1) If the obligation is not performed, the secured party may sell, lease, license, or otherwise dispose of any or all of the collateral. (2) The collateral may be disposed of publicly or privately, by one or more contracts. (3) The disposition of the collateral may be made at any time, place, or on any terms, separately or in bulk, in a manner consistent with the secured party's duties under this Act. (4) Amended by the First Amendment. Except for collateral that is perishable, liable to decline rapidly in value, or of a type where notification is impracticable, the secured party must give reasonable notification of the time and place of any public disposition, or the time after which any private disposition or other intended disposition is to be made, to the chargor or any other secured party having a perfected subordinate security interest in the collateral. (5) The secured party may Amended by the First Amendment. purchase the collateral at a public disposition. 51. Effect of Disposition: (1) The proceeds of a disposition shall be applied in the following order of priority: (a) Reasonable expenses incurred by the secured party in recovering, taking possession, preparing for disposition, and disposing of the collateral, including reasonable attorney's fees and legal costs incurred. (b) The debt secured by the security interest. (c) The debt secured by any subordinate security interest in the collateral, if a written request is received before the distribution of the proceeds and the holder of such subordinate interest provides reasonable proof of that interest. (2) The secured party shall return any surplus remaining from the proceeds of the disposition to the chargor, and unless otherwise agreed, the chargor shall be liable for any deficiency. (3) When the secured party disposes of the collateral due to non-performance of the obligation, the following shall apply: (a) Amended by the First Amendment. The person who pays value and purchases the collateral upon its disposition acquires the collateral free of the security interest, any subordinate security interest, or any privilege, subject to the superior priority security interest. (b) The office maintaining records of ownership of the collateral shall, if requested, Amended by the First Amendment. provide a new certificate of ownership to the buyer who pays value. The secured party shall present to that office either a court order for possession in a form acceptable for issuing a new certificate of ownership, or a written agreement by the chargor to transfer possession to the secured party upon non-performance of the obligation. 52.

Retaining or Taking Control of Collateral: (1) If the obligation is not performed, the secured party may

propose to retain or take control of the collateral in satisfaction of the secured obligation, in whole or in part. (2) The secured party must make the proposal under subsection (1) to the chargor and to any other secured party having a perfected subordinate security interest in the collateral. (3) If the secured party receives a written objection from a person entitled to receive notification under subsection (2) within twenty-one days after the notice is sent, the secured party shall dispose of such collateral in accordance with the provisions of this Chapter. (4) If no objection is received within the period under subsection (3), the secured party may retain or take control of the collateral in satisfaction of the chargor's obligation as proposed under subsection (1). Amended by the First Amendment.

53. Right to Redeem or Accept Collateral: (1) Unless otherwise agreed in writing, if the obligation is not performed, the chargor may redeem the collateral by fulfilling all obligations secured by the collateral and paying the secured party's reasonable attorney's fees and other legal costs, as well as other reasonable expenses incurred by the secured party in recovering, taking possession, preparing for disposition, or disposing of the collateral, before the collateral is sold. (2) If the chargor does not redeem the collateral under subsection (1), or if the collateral is not sold when the secured party disposes of it under this Act, the secured party may accept the collateral in satisfaction of the obligation. Provided that if the security agreement contains any provision regarding acceptance of the collateral, that provision shall prevail. 54.

Liability of Secured Party for Non-Performance: (1) If the secured party fails to comply with the provisions of this Chapter, the court may issue an order specifying appropriate terms and conditions for the disposition of the collateral or restraining the disposition. (2) The secured party must dispose of the collateral in a commercially reasonable manner. (3) After the disposition of the collateral, the chargor, or any person entitled to receive notice, or any person who informed the secured party of his interest in the collateral before the disposition, may recover from the secured party any damages caused by non-compliance with the provisions of this Chapter. (4) The fact that a higher price could have been obtained by selling the collateral at a different time or in a different manner than that chosen by the secured party is not of itself sufficient to establish that the disposition was not made in a commercially reasonable manner. (5) If the secured party disposes of the collateral in the usual manner recognized in the market for such collateral, the disposition is deemed to be commercially reasonable. (6) If a particular method of disposition is approved in any legal proceeding, the disposition is deemed to be fully commercially reasonable.

Chapter 6 Offenses and Penalties 55. Offenses: (1) A person shall be deemed to have committed an offense under this Act if he does or causes to be done any of the following: (a) Amended by the First Amendment. Willfully includes false particulars in a notice filed in the registration record. (b) Obstructs the registration of a notice under this Act. (c) Obstructs any person's right to use, enjoy, take possession of, or encumber property. (2) If the Registrar or his representative issues a false certificate or destroys or falsifies any record in the Amended by the First Amendment. registration record, he shall be deemed to have committed an offense under this Act. (3) Any person who commits an offense under this Act shall be liable, depending on the gravity of the offense, to a fine of fifty thousand rupees to five hundred thousand rupees, or imprisonment for up to six months, or both. (4) If any person, while in possession of the collateral, causes damage to it by negligence or carelessness, he shall be liable to a fine proportionate to the value of the collateral, and the aggrieved person may recover reasonable compensation from the person causing the damage by negligence or carelessness. (5) A person who suffers loss or damage from an offense under subsection (2) may recover compensation. 56.

Government of Nepal to be the Plaintiff: (1) In cases involving penalties under this Act, the Government of Nepal shall be the plaintiff, and such case shall be deemed to be included in Schedule-1 of the Transformed by the Act Relating to Amendments, Consolidation, Adjustment, and Repeal of Certain Nepal Laws, 2074 and amended by the Act Relating to Amendments to Certain Nepal Laws Concerning the Civil Code, 2075. Muluki

Criminal Procedure Code, 2074. (2) The investigation and inquiry of an offense under this Act shall be conducted by at least a Police Inspector, who may consult with an expert on the relevant subject during such investigation and inquiry. Chapter 7 Transitional Provisions 57. Transactions Conducted Before the Commencement of this Act: (1) In relation to a hypothecation agreement, pledge agreement, hire purchase agreement, or lease agreement of goods as defined in this Act, entered into before the commencement of this Act, the following shall apply. For the purpose of this section, such transactions shall be treated as pre-existing transactions conducted before the application of this Act: (a) Except as otherwise provided in clauses (b) and (c), the validity, effect, and enforcement of such pre-existing transactions shall be determined in accordance with the prevailing law at the time the agreement was made. (b) To the extent that a security interest created by a transaction completed before the commencement of this Act conflicts with a security interest created after the commencement of this Act, the security interest created under this Act shall prevail. (c) A secured party under a pre-existing transaction may register a notice of the security interest in accordance with the method under Chapter 2, within one year from the date the registration office commences its operations. The priority of perfection established by registration under this Act shall be calculated from the date the registration office is established. (2) Notwithstanding anything elsewhere in this Act, if any transaction falling within the jurisdiction of this Act was completed between the date of commencement of this Act and the time the registration office is established and operational, such transaction shall be deemed to have been made subject to subsection (1). Chapter 8 Miscellaneous 58. Termination of Security Interest: (1) A security interest terminates if no secured obligation remains and the secured party has no commitment to make future advances, incur obligations, or otherwise give value. (2) In relation to a sold account or secured sale agreement, the security interest terminates upon the performance of the obligation by the account debtor. Added by the First Amendment.58A.